

# Margin Risk

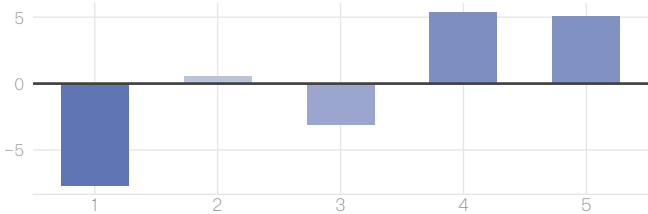
Crowded, highly-leveraged long positions get washed out by cascading liquidations – a structural drag that the factor systematically shorts.

The factor capitalises on the tendency of assets with higher at-risk-of-liquidation positions to underperform less leveraged assets.

Margin Risk predicts positions vulnerable to forced closure at 1%, 2%, 5% and 10% deviations from the current price. Data is aggregated from the top 10 most reputable exchanges.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques employed to keep it both stable and relevant, as well as survivorship-bias free.

MEAN FORWARD RETURN BY QUANTILE • 1D (BPS)



To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The factor is available (point-in-time) with hourly updates, 5 minutes past the hour (UTC).

## EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Long and short the dynamic, point-in-time universe, sized by the factor's cross-sectional strength; rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

#### Cumulative Returns

| MTD  | Last Month | 1M    | 3M    | YTD   |
|------|------------|-------|-------|-------|
| 0.0% | -6.9%      | -1.1% | -0.9% | -0.4% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 16.2% | 36.6% | 38.2% | 58.9% |

Report Period Start Date Jan 2021 • End Date Jul 2026

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M    | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|-------|-------|
| 16.4% | 22.9% | 23.2% | 27.7% | 26.4% | 29.3% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| -23.2% | 2024-01-12 |

### CUMULATIVE RETURN



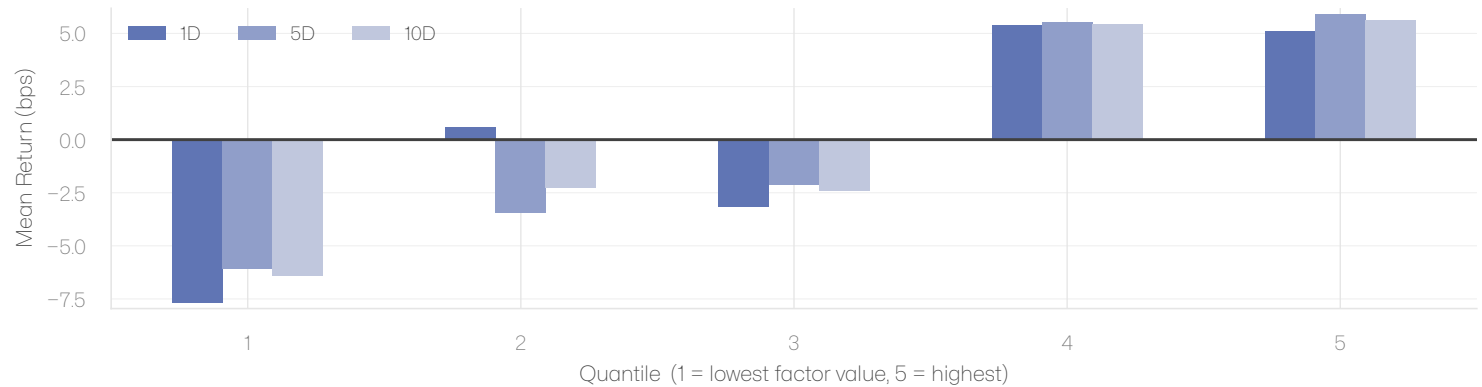
Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Factor Analysis

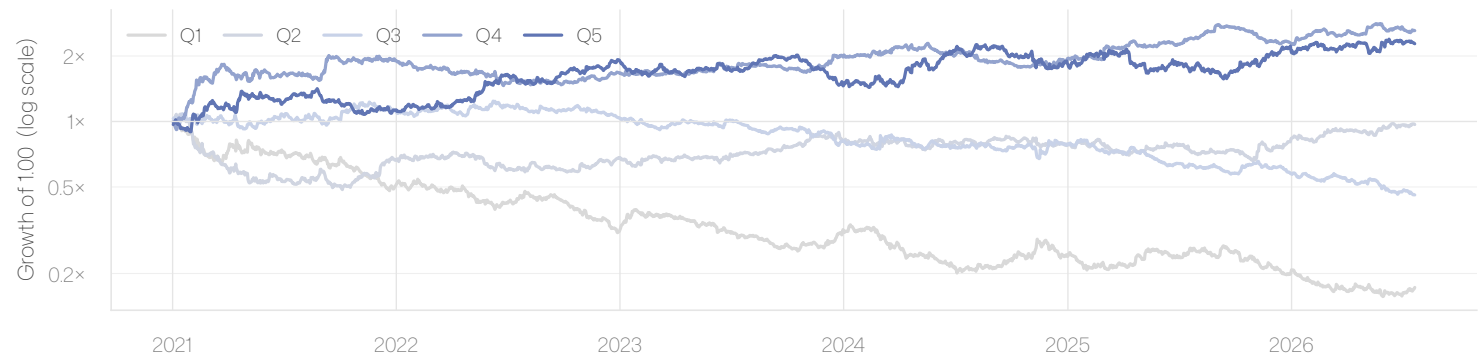
[Download Factor Data \(CSV\)](#)

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Mean Period Wise Return by Factor Quantile

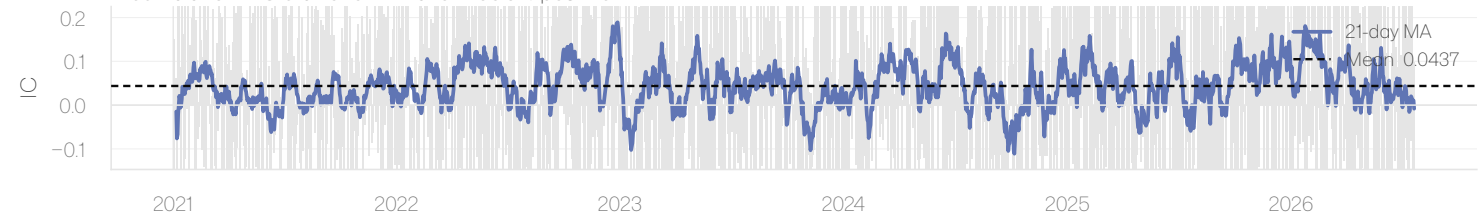


Cumulative Alpha by Quantile • demeaned, 1D



Information Coefficient (Spearman)

Mean 0.0437 • Std 0.2676 • IR 0.16 • 56.3% positive • 1D



## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this factor on unravel.finance](#)[Replication notebook – backtest in AlphaLens](#)

Have further questions? [Book a call with our team – unravel.finance/booking](https://unravel.finance/booking)

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